Day-30 Report — Assess, Align, Reconnect

James D. Codling, PE · Period July 13 – August 12, 2026 · Prepared for Brad Geer, President & COO

THE HEADLINE

All five Day-30 commitments are complete, and seven items from the 60- and 90-day phases were pulled forward — including a booked win (Consumers 2026 Pole Replacements: $276K CVR scope riding a $3.45M EPC award with HWC) and a closed hire (Senior PM, starting 8/24). The assessment phase is finished: GL-reconciled baseline, driver-based forecast, quantified pipeline, and a costed growth thesis — and the operating rhythm is running.

Day-30 commitments	Pulled forward from 60/90	First EPC-paired win	2026 win rate	Honest FY26 landing
5 / 5	**7 items**	**$3.45M**	**69%**	**$1.42M**
complete, with artifacts	incl. a win + a closed hire	Consumers · $276K CVR scope	up from 50% in 2025	vs $2.03M budget — re-forecast built

DAY-30 SCORECARD — WHAT WAS COMMITTED vs WHAT WAS DELIVERED

Commitment (due)	Status	Delivered — evidence
Reconnect the five anchor relationships (7/23)	**DONE**	CenterPoint (7 active jobs, ~70% of revenue — program-level agreement push framed), DTE (New Baltimore + Renaissance re-bid), Consumers (pole program won; HVD sensors live), AEP & FirstEnergy (executive-level pursuit plan built — see Decisions). Account ownership mapped per anchor.
Review active project portfolio & at-risk jobs (7/25)	**DONE**	Full backlog build: $973K remaining on 10 active jobs; at-risk flags (Manistique −206% cost, Angel Mounds −6%); three close-outs by Oct-26 need replacement work. New Baltimore cost-control package launched: easements, BOM-vs-actual material triage, TRK-4911 tracking, DTE open-book response, cost-per-mile benchmarking.
Diagnose engineering team — skills & capacity map (7/27)	**DONE**	13-person roster mapped: per-person billable utilization vs individual targets (team 60.8% vs 75% median), loaded cost vs bill rate by role (every role clears 1.7–2.2× — the rate card holds), capacity ceiling quantified: the $6M revenue goal is a ~27-FTE build.
Baseline CVR division P&L and utilization (8/3)	**DONE**	Phase-1 workbook reconciled to the GL through 6/30 (H1: $551K revenue, −$320.5K NI); labor economics rebuilt on finance's loaded-cost basis and tied dollar-for-dollar to the 2026 Budget V5; monthly KPI dashboard live (7/11 and 7/25 packages integrated).
Inventory engineering tools & workflows (8/7)	**DONE**	COINS reporting path established (GL, timesheet cost, AR extracts feeding the model); KPI package cadence formalized as the actuals rhythm; integrated USC/CVR capital-delivery process authored and submitted for CEO/COO approval (CVR-PROC-001 Rev 0); regenerable model/report toolchain in the division repository.

WHAT THE ASSESSMENT FOUND — THE FIVE FACTS THAT MATTER

- **The 2026 budget is out of reach; the honest landing is ~$1.42M revenue and a ~$480K loss.** H1 came in 46% under a flat-spread budget. A driver-based re-forecast (Base / Upside / Downside) is built and reconciles to finance's budget dollar-for-dollar at the budget operating point.
- **The margin problem is throughput, not pricing.** On finance's loaded-cost basis every role clears its bill rate at 1.7–2.2×. The gap is realization (~$122 realized vs $154 card) and utilization (60.8% vs 75%) — worth roughly a doubling of revenue on the current roster if closed.
- **Work in hand covers about half the forecast.** Backlog $973K + weighted pipeline ≈ 52% coverage of the 18-month Base case — a ~$1.6M origination gap that is a BD problem, not a capability problem.
- **Each EPC win pays CVR twice** — ~12.5% of every EPC dollar (8% engineering pull-through + 4.6% captured material margin). The Consumers win is the template.
- **Bid engineering needs an accounting home.** 405 unbilled pursuit hours YTD drag division metrics; three CFO options framed (intercompany bid-support billing recommended).

AHEAD OF SCHEDULE — 60/90-DAY ITEMS ALREADY DELIVERED OR IN MOTION

Committed item (original due)	Plan	Where it stands at Day 30
Stand up pipeline tracking & win-rate baseline (8/22)	60-day	**Done.** Full bid pipeline with probability weighting; win rate baselined at 69% (2026) vs 50% (2025); coverage model with a live backlog/pipeline toggle.
Convert one anchor reconnect into a scoped pursuit (9/6)	60-day	**Exceeded — converted to a win.** Consumers 2026 Pole Replacements awarded: $276K CVR scope, $3.45M EPC-paired with HWC. Two more EPC-paired bids now in market (MEC VanMeter 161kV due 9/4; DTE Renaissance 345kV due 9/15).
Open priority engineering reqs (8/27)	60-day	**Done.** Transmission-line, substation, and structural engineering reqs opened — actively recruiting to supplement and stabilize the current team; VP-level pursuit-development role fully costed (see Decisions).
Close two engineering hires (10/6)	90-day	**First hire closed.** Senior PM hired — starts 8/24, adding delivery and program-management capacity for the growing backlog and EPC-paired work.
Present revised forecast (10/11)	90-day	**Done early.** 18-month driver-based forecast with three scenarios, reconciled to the 2026 Budget V5; FY26 landing and FY27 outlook quantified (+$123K Base-case FY27 NI).
Draft 12-month growth & hiring plan (10/1)	90-day	**Substantially drafted.** 24-slide review deck: consolidated EPC strategy, $120B addressable market, national expansion targets, at-scale model ($150M/yr EPC → ~$7.6M CVR OI), hiring sequence.
Submit first major proposal under new structure (10/3)	90-day	**In motion.** $9.1M of EPC-paired bids in market plus VanMeter and Renaissance submissions due in September.

DECISIONS REQUESTED

Decision	Case
1 · Fund the VP, EPC Project Development hire (now)	~$400K/yr all-in, dedicated to converting warm AEP + FirstEnergy relationships into EPC awards. One mid-size EPC award (~$3.45M) returns ~$0.43M to CVR — payback inside year one. Candidate one-pager submitted separately.
2 · Approve the Integrated Capital Delivery Process — move Estimating into CVR (now)	CVR-PROC-001 Rev 0 (submitted): one unified pursuit-and-delivery process — Estimating moves from HWC into CVR under the SVP of Engineering, engineer-verified procurement, dedicated capital-delivery PMs; mandatory ≥$500K; New Baltimore is the pilot. The structural fix for estimate quality, GP surprises, and IOU open-book scrutiny.
3 · Align bid-engineering accounting with the CFO	Recommend intercompany bid-support billing (HWC pays CVR for pre-award engineering) so pursuit hours become billable and division metrics reward the EPC behavior the strategy demands.
4 · Socialize the re-forecast	Track H2 to the driver-based forecast rather than the flat budget; monthly cash draw on USC is the early-warning gauge.

DAYS 31–60 — STABILIZE, STAND UP, WIN

- **Win the September bids:** MEC VanMeter (9/4) and DTE Renaissance (9/15) submissions; press the Q4 slate (Lansing BWL is the single biggest swing at $1.35M).
- **Close the throughput gap:** per-person utilization plans against the 75% target; chase the realization leak (billing lag, write-offs, HWC rate treatment).
- **Stand up QA/QC design review gates** (per plan, due 9/1) — leveraging the documented integrated EPC delivery process.
- **Land the talent:** onboard the Senior PM (starts 8/24); fill the open T-line / substation / structural reqs; VP pursuit-development offer out on Decision 1.
- **New Baltimore:** land the DTE open-book response and surplus recovery — and, on Decision 2, launch it as the pilot of the integrated process. **August close** enters the actuals-vs-forecast cadence.

Bottom line: **the diagnosis is done, the numbers are real, and the growth engine is designed.** The 60-day phase wins what's in market, lands the talent, and unifies the pursuit engine — Decisions 1 and 2 are the gate.